responded by writing that he was perfectly willing to address him as Sir Osborne or the Governor. ‘If in demi-official letters…there was not the slightest idea of showing a lack of courtesy and there I was following the used government practice. However I recognize that I am leaving government service for another where stricter conventions appear to obtain, I am perfectly ready to conform.’[24]

In one of his letters to Smith, Purshotamdas had advocated Shroff’s candidature for the post of Deputy Governor of the RBI. Smith was fully convinced about Shroff’s abilities but felt that his ‘publicity and previous controversial activities’ went against him. Writing to Purshotamdas on July 21, 1936, Smith indicated that Shroff would have to make a big sacrifice monetarily if he became the Deputy Governor. ‘Whatever you decide I will give you my support—I can see no Indian who would so ably fill the position. I like him and would trust him. I believe we would work well together, but would he work with Taylor and Grigg! I doubt it for Grigg openly expresses his dislike of him.’[25]

In early August, Shroff had written to Smith referring to discussions he had had with Purshotamdas who also felt that if Grigg had his way he would put another ICS in Sir Sikander’s place. Grigg had hinted to Purshotamdas that the government would not accept Shroff because of his political leanings while Purshotamdas was keen that Shroff’s name be in the race so that he could ‘endeavour to put government in the wrong by driving them to turn down my name for my politics.’[26] Grigg’s dislike of Shroff was no secret and he described him in his letters as ‘a perfectly frightful man and an intimate crony of Sir Osborne Smith’s.’[27] Smith writing to Purshotamdas on August 10, 1936, observed that ‘if ability and usefulness is required then AD is the man but I’m certain Grigg will want to appoint an official, or someone under his thumb’ to the post.[28] That Grigg had no sympathy for Indian aspirations and for people like Purshotamdas and Shroff was confirmed when he wrote in his autobiography that within four years, the RBI had come to be dominated by ‘those Hindu big businessmen who were more than sensitive to suggestions from the Congress caucus, and some of whom had contributed largely to its funds.’[29] Surprisingly there is no mention of the disagreements with Smith in his memoirs.

A major sticking point with Grigg was Smith’s friendship with C.S. Rangaswami, editor of *Indian Finance*. In his characteristically intemperate